MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION, OCTOBER 2026

FIFTH SEMESTER Discipline Specific Core Course (DSC)

MG5DSCECO301 – INTERNATIONAL ECONOMICS

SCHEME OF VALUATION

Duration : 2 hrs Maximum Marks: 70

Part A: Multiple Choice Questions (1 x 10 = 10 Marks)

1.**d.** All of the above
2. **b.** David Ricardo
3. **c.** Worsen the BOP.
4. **c.** Spot Rate
5. **b.** Speculator
6. **b.** It can reduce efficiency and increase trade cost.
7. **d.** Specialize and gain from trade based on comparative advantage.
8. **a.** Providing development loans.
9. **d.** A legal limit on the quantity of a good that can be imported.
10. **a.** To organize production across locations and access efficiencies or capabilities.

PART B: Short Answer Questions (3 x 10 = 30 marks)

11. Distinguish between Gross Barter Terms of Trade and Net Barter Terms of Trade.

Gross Barter Terms of Trade	Net Barter Terms of Trade
Ratio of total physical quantity of exports to imports.	Ratio of export price index to import price index.
Measures the volume of goods exchanged.	Measures the relative prices of exports and imports.
Formula: GBT={Q_m}/{Q_x} x 100	Formula: NBT={P_x}/ {P_m} x 100

12. What are the two types of gains from international trade ?

- **Static Gains**: Benefits from specialisation and efficient allocation of existing resources.
- **Dynamic Gains**: Long-term benefits - technological progress, capital formation and economic growth.

13. What are the non-monetary measures adopted to correct BoP disequilibrium?

- **Export Promotion**: Encouraging exports to increase foreign exchange earnings.
- **Import Restrictions**: Imposing quotas and tariffs to reduce imports.
- **Import Substitution**: Encouraging domestic production of imported goods.

14. Distinguish between a deficit and a surplus in the BoP.

- **BoP Deficit**: Payments to foreign countries exceed receipts from them.
- **BoP Surplus**: Receipts from foreign countries exceed payments to them.

15. Define Balance of Payment. State its features.

- Systematic record of all economic transactions between the residents of a country and the rest of the world during a specific period.
- Includes current and capital/financial account transactions.
- Records both receipts and payments. And Follows the double-entry bookkeeping system.

16. What is a currency option?

A financial contract that gives the buyer the right, but not the obligation, to buy or sell a specified currency at a predetermined exchange rate within a specified period.

17. Distinguish roles of commercial banks and central banks in foreign exchange market.

- **Commercial Banks:** Buy and sell foreign currencies, facilitate international payments, and provide foreign exchange services to customers.
- **Central Banks**: Manage foreign exchange reserves, regulate the foreign exchange market, and intervene to stabilise exchange rates.

18. What is the Gold Standard?

- Value of a country's currency - fixed in terms of gold.
- Currency convertible into gold at a fixed rate.
- Exchange rates between countries - relatively stable.Money supply linked to gold reserves.

19. Explain the role of demand for foreign exchange in the Balance of Payments Theory.

- Demand for foreign exchange - imports, foreign investments and repayment of foreign debts.
- Higher demand for foreign exchange increases its value relative to domestic currency.
- Influences exchange rate and helps determine equilibrium in foreign exchange market.

20. Discuss the concept and major features of economic decoupling.

- Economic decoupling refers to reducing economic dependence between countries.
- Reduced trade and investment between countries.
- Diversification of supply chains.
- Increased domestic production - Greater economic self-reliance.

21. Explain the possibility of retaliation associated with tariff policy.

- Retaliation occurs when a country responds to another country's import tariffs by imposing tariffs on its exports.
- Effects: May lead to trade wars, reduced international trade, and higher consumer prices.

22. Explain how WTO rules can help reduce barriers to international trade.

- **Reducing tariffs**: Encourages lower customs duties on imports.
- **Non-discrimination**: Promotes equal treatment of trading partners.
- **Dispute settlement**: Resolves trade disputes and prevents unnecessary trade restrictions.

23. What is preferential trade area?

- An agreement between countries to reduce tariffs on selected goods traded among member countries. Eg: South Asian Preferential Trading Arrangement (SAPTA).
- Members maintain their own trade policies towards non-member countries.

PART C : Short Essay Questions (6 x 5 = 30 marks)

24. Explain why labour – abundant country specializes in labour – intensive goods according to Heckscher Ohlin Theory.

- **Labour abundance:** The country has more labour relative to capital.
- **Lower labour cost**: Abundant labour makes labour relatively cheaper.
- **Labour-intensive goods**: These goods require more labour than capital.
- **Comparative advantage:** Such goods can be produced at a lower relative cost.
- **Specialization**: The country specializes in and exports labour-intensive goods.
- Example: India exports garments and textiles due to its large labour force.

25. Explain the major "basis of international trade".

- **Natural resources**: Differences in resource availability.
- **Factor endowments**: Differences in labour and capital.
- **Production costs**: Differences in the cost of producing goods.
- **Comparative advantage**: Lower opportunity cost of production.
- **Technology:** Differences in technological development and skills.
- **Economies of scale**: Lower average costs through large-scale production.

26. Discuss the role of bank rate policy in correcting BoP disequilibrium.

- **Higher bank rate**: Reduces borrowing and money supply.
- **Lower imports**: Reduces spending and demand for imported goods.
- **Foreign capital inflow**: Higher interest rates may attract foreign investment.
- **Controls inflation**: May improve export competitiveness.

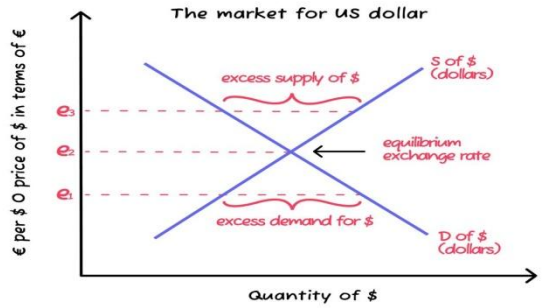
- **Corrects BoP deficit**: Reduces foreign exchange outflow and encourages inflow.

27. Compare fixed and flexible exchange rate systems, highlighting their relative advantages and limitations.

System	Meaning	Advantages	Limitations
Fixed	Rate fixed by the government/central bank.	Stability in trade; reduces uncertainty.	Requires reserves; limits monetary policy freedom.
Flexible	Rate determined by demand and supply.	Adjusts to BoP imbalances; greater policy freedom.	Exchange rate fluctuations; uncertainty in trade.

28. Explain with help of diagram, how equilibrium exchange rate is determined in foreign exchange market.

- Demand for foreign exchange (D): Slopes downward.
- Supply of foreign exchange (S): Slopes upward.
- Equilibrium exchange rate: D=S
- Equilibrium point (E): Intersection of demand and supply curves.
- Above equilibrium: Excess supply of foreign exchange.
- Below equilibrium: Excess demand for foreign exchange.



29. Evaluate why migration should be analysed from both sending and receiving country perspectives.

- Sending countries: Migration reduces unemployment and increases remittances but may cause brain drain and labour shortages.
- Receiving countries: Migration fills labour shortages and supports economic growth but may increase pressure on public services.

30. Describe how IMF's financial assistance helps member countries overcome BOP crises.

1. **Providing financial assistance** to meet foreign payment obligations.
2. **Supporting foreign exchangereserves** to stabilise the currency.
3. **Recommending economic reforms** to correct BoP imbalances and restore stability.